

AI For Stock Analysis

Cheat Sheet

The image features a central logo consisting of the letters 'AI' in a bold, green, sans-serif font. This logo is set within a dark blue, rounded square that has a subtle gradient and a slight drop shadow. The background of the entire image is a dark navy blue. Behind the central logo, there is a blurred representation of a stock price candlestick chart. The chart shows several vertical bars, some green and some purple, indicating price movements over time. The overall aesthetic is modern and tech-oriented.

AI

www.chartchampions.com



AI for Stocks Analysis



AI helps us review companies faster and more consistently. We use it inside a fixed stock analysis framework, so every company goes through the same process, the same scoring system, and the same final review.

This gives us cleaner comparisons, clearer conviction, and better control over risk when we decide where to put capital.



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Scoring Framework & Conviction

Scoring Logic

The AI assigns a score to each category using predefined criteria, then calculates the final composite rating and conviction level.

Rating Scale

5.0 — Structurally dominant, durable advantages

4.0 — Strong positioning, manageable risks

3.0 — Balanced strengths and weaknesses

2.0 — Structural vulnerabilities present

1.0 — Structural fragility or capital impairment risk

Decimals are allowed (e.g. 3.6, 4.2)

Scored Categories

Business Quality

Financial Quality

Competitive Positioning

Growth Potential

Risk Profile

Sentiment & Positioning

Valuation Outlook

Conviction Bands

4.5–5.0 - Very High Conviction

4.0–4.49 - High Conviction

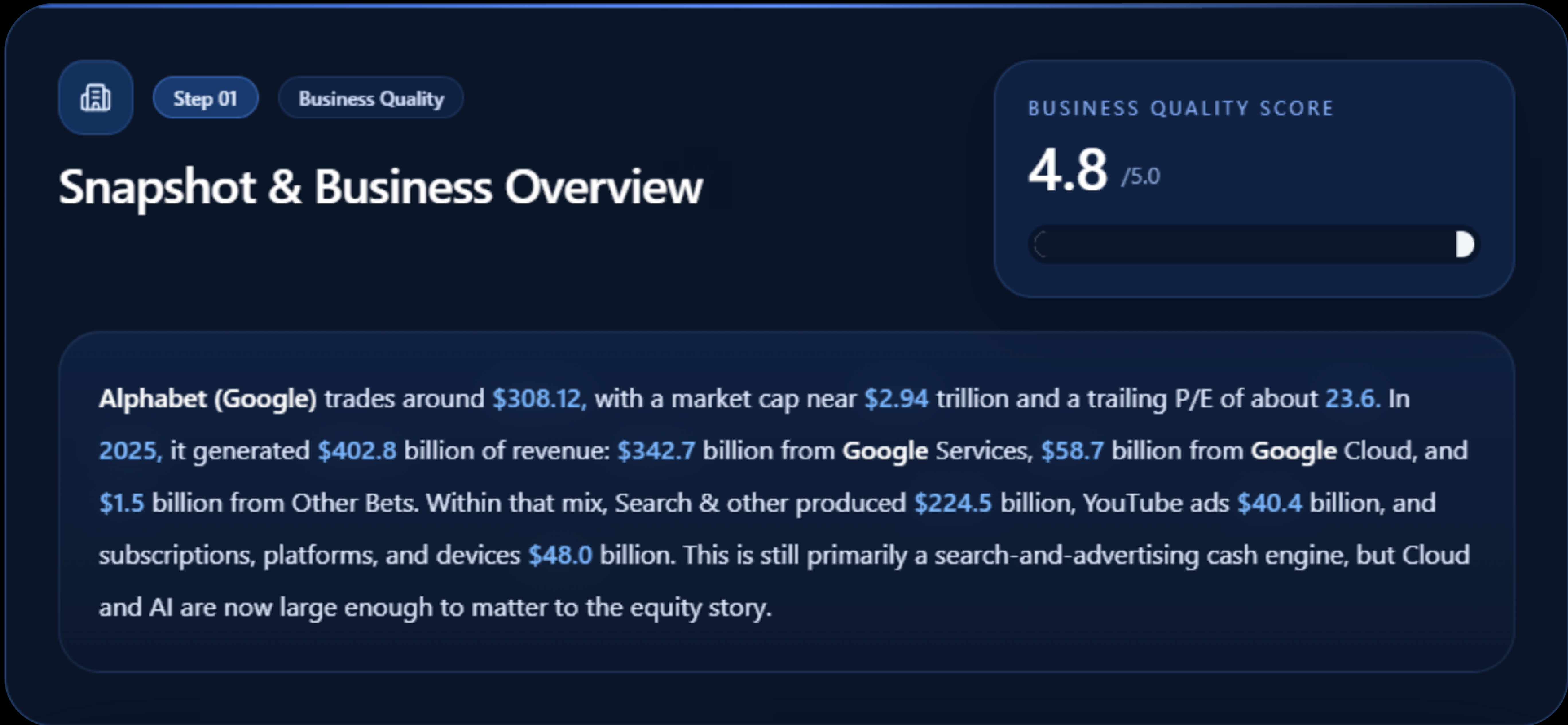
3.5–3.99 - Moderate Conviction

3.0–3.49 - Selective / Cautious

Below 3.0 - Avoid / Monitor



Step 1 Structured Equity Analysis Model



The examples below use a sample AI output for Alphabet (GOOGL), so we can quickly see how each step is applied in a real analysis.

Step 1. Snapshot & Business Overview
It starts by explaining how the company makes money, what its main business segments are, and which areas drive the story forward. This gives us a quick view of the company's size, structure, and core business engine.

Example: For Alphabet, the AI highlights Google Services as the main revenue driver, with Search as the largest contributor, while Cloud and AI add important growth to the overall story.



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Step 2 Financial Quality, Balance Sheet & Valuation Metrics

The AI reviews revenue growth, margins, cash flow, capital spending, debt, cash position, and valuation metrics. This shows whether the business is financially strong and whether the current price looks reasonable compared with that strength.



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Step 02 Financial Quality

Financial Quality, Balance Sheet & Valuation

FINANCIAL QUALITY SCORE

4.6 /5.0

Alphabet's 2025 operating income was \$129.0 billion, with a 31.6% operating margin. Operating cash flow reached \$164.7 billion, while capital expenditures climbed to \$91.4 billion. It ended 2025 with \$126.8 billion in cash, cash equivalents, and short-term marketable securities against \$46.5 billion of long-term debt, which leaves it with substantial net cash and unusual financial flexibility for a company of this size. It also repurchased \$45.4 billion of stock in 2025. At roughly 23.6x trailing earnings, the valuation is not cheap, but it is still reasonable relative to the balance sheet, cash generation, and earnings durability.

Example: For Alphabet, the AI points to strong operating income, massive cash generation, a large net cash position, and a valuation that still looks reasonable relative to business quality.



Step 3 Competitive Positioning & Moat



Step 03

Competitive Positioning

Competitive Positioning & Moat

COMPETITIVE POSITIONING SCORE

4.4 /5.0



Alphabet's moat is built on distribution, data, user habit, and infrastructure. Search alone generated **\$224.5 billion** in **2025**, and management attributed growth to more search queries, mobile usage, advertiser spending, and better ad delivery. Around that core, **Alphabet** still controls major user surfaces and ecosystems through Chrome, Android, YouTube services, **Google** Play, and **Google** Cloud Platform. That combination makes the business hard to displace quickly. The limitation is that regulators are now actively attacking parts of this distribution and data advantage, so the moat remains wide, but less unconstrained than it once was.

Example: For Alphabet, the AI highlights Search, Chrome, Android, YouTube, and Cloud as part of a wide moat built on distribution, data, and ecosystem strength.

This step examines how strong the company is relative to competitors and whether its advantage can endure over time. It looks at scale, distribution, user habits, infrastructure, brand strength, and barriers to entry.



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Step 4 Bull Thesis & Growth Drivers

It outlines the main reasons the company could keep growing over the next few years. It focuses on catalysts that can improve revenue, margins, and long-term value.



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Step 04 Growth Potential

GROWTH POTENTIAL SCORE

4.3 /5.0

Bull Thesis & Growth Drivers

The bull case rests on three things: resilient Search monetisation, Cloud scaling into a larger profit pool, and AI becoming a real revenue lever rather than just a cost centre. **Google** Cloud revenue rose from **\$43.2** billion to **\$58.7** billion in **2025**, while Cloud operating income more than doubled to **\$13.9** billion. Remaining performance obligations reached **\$242.8** billion, primarily tied to Cloud. Investor perception also shifted from **Alphabet** being seen as an AI laggard to being viewed as a more credible leader. Waymo adds longer-dated optionality, though it is not the main reason to own the stock today.

Example: For Alphabet, the AI points to resilient Search monetisation, fast-growing Cloud profits, and AI products like Gemini as key drivers of future upside.



Step 5 Bear Thesis & Structural Risks

The AI reviews the main risks that could weaken the business or damage the investment thesis. This includes regulation, margin pressure, weaker monetisation, or heavy capital requirements.



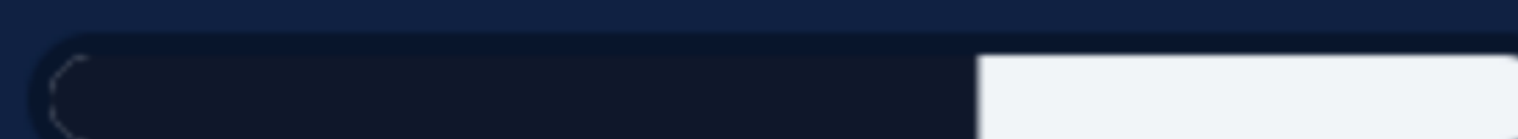
Step 05

Risk Profile

Bear Thesis & Structural Risks

RISK PROFILE SCORE

3.1 /5.0



The bear case is mostly about regulation, capital intensity, and the possibility that AI changes usage faster than **Alphabet** can monetise it. U.S. antitrust pressure remains a real overhang, and ad-tech exposure matters too. At the same time, **Alphabet** signalled that **2026** capex could rise materially above **2025** levels, so returns now depend on AI monetisation keeping up with spending. This is still a very strong business, but the bar is higher now because future upside depends more on execution and less on dominance alone.

Example: For Alphabet, the AI flags antitrust pressure, rising AI-related capex, and the risk that AI usage changes faster than monetisation improves.



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Step 6 Analyst Sentiment & Market Flow

It checks how the market is positioned around the stock. It looks at analyst targets, revisions, sentiment, and how investors are reacting to the company's execution.



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Step 06

Sentiment & Positioning

SENTIMENT & POSITIONING SCORE

4.0 /5.0

Analyst Sentiment & Market Flow

Market sentiment is constructive, but it is no longer blindly complacent. Confidence improved as **Alphabet's** AI strategy gained more credibility and the stock benefited from stronger execution. At the same time, investors pushed back on the heavier capex outlook, which shows the market likes the AI narrative but wants visible returns. Sell-side sentiment remains broadly positive, though the stock is now large, widely owned, and increasingly execution-dependent.

Example: For Alphabet, the AI shows positive sell-side sentiment and bullish price targets, while also noting that investors are sensitive to the company's heavy spending outlook.



Step 7 Scenario-Based Valuation & Return Framework



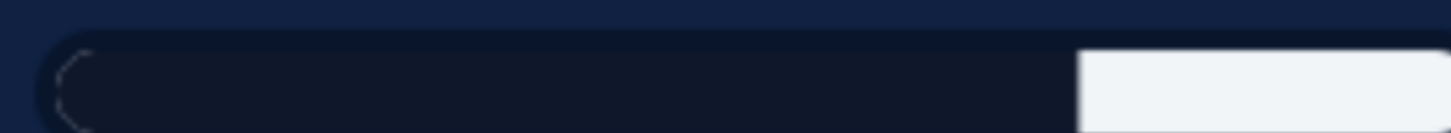
Step 07

Valuation Outlook

Scenario-Based Valuation & Return Framework

VALUATION OUTLOOK SCORE

3.6 /5.0



Using the current share price of **\$308.12** and trailing EPS of about **\$10.13** as the anchor, the next **12–18** months can be framed in three ways. Bull case: around **\$405**, or roughly **+31%**, if AI monetisation improves across Search and Cloud while the market tolerates heavier spend. Base case: around **\$324**, or roughly **+5%**, if Search stays resilient and Cloud remains strong but capex limits multiple expansion. Bear case: around **\$210**, or roughly **-32%**, if regulation bites harder, AI monetises below expectations, and spending stays elevated.

Example: For Alphabet, the AI frames a bull case near \$405, a base case near \$324, and a bear case near \$210 based on different earnings and valuation assumptions.

It builds bull, base, and bear scenarios to estimate possible outcomes from the current price. This helps us see upside, downside, and what needs to happen in each case.



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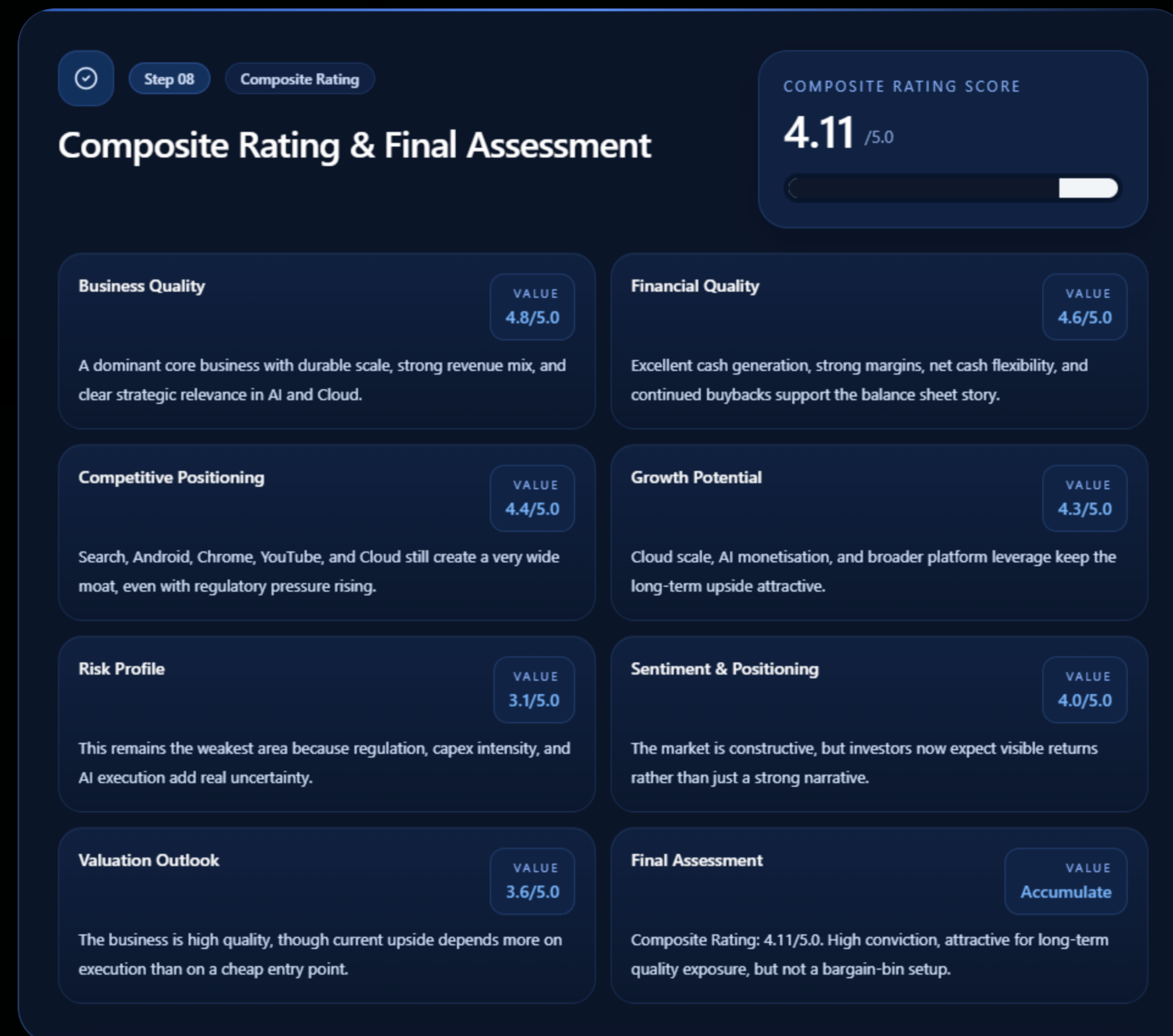


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Step 8 Scorecard, Composite Rating & Final Assessment

In this step, the AI assigns a score to each category, averages them, and turns the analysis into one final rating and conviction level. This gives us a clean summary of the full review.



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Example: For Alphabet, the AI scores the company at 4.11/5.00, which places it in the High Conviction group with an Accumulate / long-term outperformer stance.



Step 9 Investment Thesis & Invalidation Triggers



Step 09

Investment Thesis

Investment Thesis & Invalidation Triggers

INVESTMENT THESIS

Alphabet remains one of the best large-cap businesses in public markets: dominant Search economics, improving Cloud profitability, credible AI monetisation paths, and a balance sheet strong enough to fund capex, buybacks, and strategic optionality at the same time. The reason it does not score even higher is simple: regulation and AI economics now matter more than product quality alone.

INVALIDATION TRIGGERS

Search growth slows materially without AI monetisation offsetting it.

Cloud growth decelerates sharply while capex remains extreme.

Antitrust remedies begin to impair distribution or ad economics.

AI spending stops producing durable earnings power.

Example: For Alphabet, the AI says the thesis weakens if Search growth slows without AI monetisation support, Cloud growth fades while capex stays extreme, or regulation starts to damage distribution and economics.

The AI closes with a short thesis summary and the key conditions that would weaken the setup. This makes the final output easier to monitor over time.



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Applying the Model in Practice

Once the AI finishes the report, we use the output to organise our research, compare stocks, and focus on the names with the strongest setup.

With the report, we turn the analysis into a repeatable workflow that helps us rank opportunities, track conviction, and monitor what matters most.

Fixed Process

1. Download the Master Instruction Block from the Vault.
2. Extract the file named: Structured Equity Model Master instructions
3. Paste it into your preferred AI model.
4. Type only the company name in the chat.
5. Run the model.

The Structured Equity Model Master instructions can be used in a chat or set up as a project across different AI platforms, depending on what works best for us.

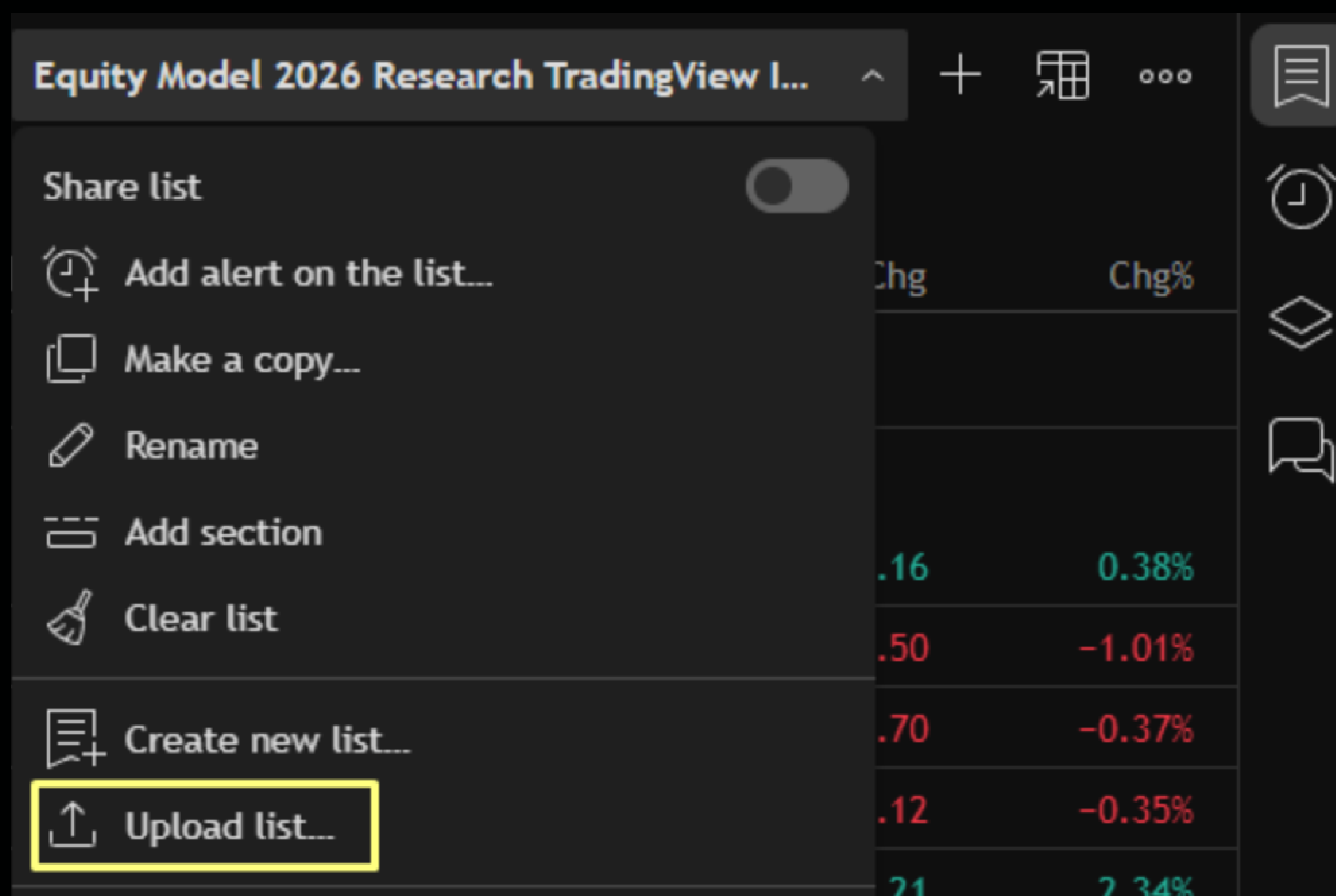


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Importing a Watchlist into TradingView

The watchlist we shared is a research deployment list, not a recommendation list. It gives us a ready-made group of top research candidates that we can import into TradingView and run through the full AI model.



Once imported, your watchlist will be ready in TradingView, with groups like Mega Cap Tech, Energy, Industrials, and others, so we can scan each section more easily and run the model one company at a time.

How to Import it:

1. Download the Master Instruction Block from the Vault.
2. Extract the file named: Equity Model 2026 Research TradingView List
3. Open TradingView and go to the watchlist panel.
4. Click the watchlist menu.
5. Select Import list.
6. Upload the watchlist file.



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